

ROI and Risk Assessment — AI Career LaunchPad

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Project: AI Career LaunchPad

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Context: Ironhack AI Consulting & Integration Bootcamp — Final Capstone Project

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Part 1 — ROI Analysis

Cost Estimate — Upfront

POC (already built)

Item	Detail	Cost
Builder time — WF1 and WF3	3 days × €400/day	€1,200
OpenAI API — development and testing	Prompt iteration, pinned output validation	€80
n8n Cloud — POC period	2 months × €20/month	€40
Self-Reflection Workbook design	1 day × €400/day	€400
POC total		€1,720

MVP V1.0 (to build)

Item	Detail	Cost	Cash / Opportunity
Builder time — MVP development	4 weeks × 5 days × €400/day	€8,000	Opportunity cost
GDPR legal review	Data protection specialist — processing register, DPIA, third-party transfer documentation	€2,000	Cash

Item	Detail	Cost	Cash / Opportunity
EU AI Act compliance review	Risk classification, conformity assessment, technical documentation outline	€1,500	Cash
Graphic design and brand	Logo refinement, UI polish, report template design, marketing assets	€2,000	Cash
Product launch and marketing	Landing page, launch campaign, first operator outreach	€1,500	Cash
n8n Cloud — MVP period (6 months)	Pro tier at €50/month	€300	Cash
OpenAI API — MVP testing and launch	Extended testing, beta cohort runs	€200	Cash
MVP total		€15,500	€7,500 cash + €8,000 opportunity

Combined POC + MVP investment: €17,220 Cash investment required: €9,220 Opportunity cost (builder time): €8,000

Ongoing Costs (per month at MVP launch volume)

Assumed baseline: 10 operator cohort participants + 2 coaching clients + 3 licensed coaches with 5 clients each = ~30 WF1 submissions + ~20 WF3 submissions per month.

Item	Detail	Monthly Cost
n8n Cloud Pro	Covers execution volume at this scale	€50
OpenAI API — WF1	~30 submissions × €0.20/run (gpt-4o)	€6
OpenAI API — WF3	~20 submissions × €0.02/run (gpt-4o-mini)	€1
Domain and hosting	Custom domain, SSL, basic infrastructure	€10
Admin and tooling	Notion, email, lightweight CRM	€15
Total ongoing at launch volume		~€82/month

At scale (500 submissions/month): estimated €200-250/month. API costs remain the dominant variable.

Revenue Streams and Business Value Estimate

Stream 1 — Bootcamp Operator Licensing (B2B)

Variable	Value
Model	Setup + education fee per operator + per-participant fee per cohort

Variable	Value
Setup and education fee	€1,000 per operator (one-time)
Per-participant fee	€75 per participant per cohort
Cohorts per operator per year	4
Participants per cohort	15–20 (midpoint: 17.5)
Target operators — year 1	2 (conservative)
Target operators — year 2	4 (at target)

Year 1 Stream 1 revenue:

- Setup fees: $2 \times €1,000 = €2,000$
- Cohort fees: $2 \text{ operators} \times 4 \text{ cohorts} \times 17.5 \text{ participants} \times €75 = €10,500$
- Year 1 total: **€12,500**

Year 2 Stream 1 revenue (4 operators):

- Setup fees: $2 \text{ new operators} \times €1,000 = €2,000$
 - Cohort fees: $4 \text{ operators} \times 4 \text{ cohorts} \times 17.5 \times €75 = €21,000$
 - Year 2 total: **€23,000**
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Stream 2 — Individual Career Transition Coaching Practice (B2C)

Variable	Value
Model	8-week career transition coaching programme, LaunchPad included
Programme fee	€800 per client
Clients per month	2
Annual clients	24

Year 1 Stream 2 revenue: $24 \times €800 = €19,200$ Year 2 Stream 2 revenue: $24 \times €800 = €19,200$
(stable, capacity-constrained)

Note: This stream is capacity-constrained by the builder's time as the sole coach. Scaling requires either hiring associate coaches or shifting to a group programme format. The LaunchPad tool itself is not the constraint — the coaching hours are.

Stream 3 — Career Coach Licensing (B2B2C)

Variable	Value
Model	Setup + education fee + monthly SaaS + per-client fee
Setup and education fee	€500 per coach (one-time)
Monthly SaaS fee	€75/month per coach

Variable	Value
Per-client fee	€25 per client run through the system
Average clients per coach per month	5
Target licensed coaches — year 1	3 (conservative)
Target licensed coaches — year 2	8

Year 1 Stream 3 revenue:

- Setup fees: $3 \times €500 = €1,500$
- SaaS fees: $3 \text{ coaches} \times €75 \times 10 \text{ months (from month 3)} = €2,250$
- Per-client fees: $3 \text{ coaches} \times 5 \text{ clients} \times 10 \text{ months} \times €25 = €3,750$
- **Year 1 total: €7,500**

Year 2 Stream 3 revenue (8 coaches, full year):

- Setup fees: $5 \text{ new coaches} \times €500 = €2,500$
 - SaaS fees: $8 \text{ coaches} \times €75 \times 12 = €7,200$
 - Per-client fees: $8 \text{ coaches} \times 5 \text{ clients} \times 12 \text{ months} \times €25 = €12,000$
 - **Year 2 total: €21,700**
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ROI Calculation

Combined Revenue Summary

Stream	Year 1	Year 2
Stream 1 — Operator licensing	€12,500	€23,000
Stream 2 — Coaching practice	€19,200	€19,200
Stream 3 — Coach licensing	€7,500	€21,700
Total revenue	€39,200	€63,900

12-Month ROI

Item	Value
Total investment (POC + MVP, cash only)	€9,220
Ongoing costs year 1 (12 months × €82)	€984
Total cost year 1	€10,204
Total revenue year 1	€39,200
Net benefit year 1	€28,996

Item	Value
ROI year 1	$(€28,996 / €10,204) \times 100 = 284\%$

36-Month ROI

Item	Value
Total investment (POC + MVP, cash only)	€9,220
Ongoing costs years 1-3 (escalating with volume)	€4,500
Total cost over 36 months	€13,720
Total revenue years 1-3	€39,200 + €63,900 + €80,000*
Net benefit over 36 months	~€169,380
ROI over 36 months	$(€169,380 / €13,720) \times 100 = 1,234\%$

*Year 3 revenue estimated at €80,000 based on 4 operators + 24 coaching clients + 12 licensed coaches at full run rate.

Important caveat: These figures exclude the builder's opportunity cost (€8,000 in development time). If included, total 36-month cost rises to €21,720 and ROI falls to ~780% — still highly favourable.

Break-Even Point

Scenario	Break-even
Cash costs only (€9,220)	Covered after first operator setup (€1,000) + first full cohort (€1,312) + ~10 coaching clients (€8,000). Approximately month 5–6 post-launch.
Including opportunity cost (€17,220)	Covered after approximately 12 months of combined revenue across all three streams at conservative targets.

Assumptions Table

Assumption	Value used	Justification
Builder day rate	€400/day	Conservative market rate for AI implementation consulting with senior engineering background in Europe
MVP build time	4 weeks	2 × 2-week solo sprints. Based on builder's estimate. Does not include post-launch iteration.
OpenAI API cost per WF1 run	€0.20	~7 gpt-4o calls × ~4,500 tokens average per call at current pricing. Rounded up for safety.
OpenAI API cost per WF3 run	€0.02	~4 gpt-4o-mini calls × lower token volume.

Assumption	Value used	Justification
Operator cohort size	17.5 (midpoint of 15–20)	Based on typical Ironhack cohort sizing as reference point.
Operator price per participant	€75 (midpoint of €50–100)	Positioned below one professional certification (€150–300) to make adoption low-friction.
Coaching clients	2/month	Capacity-constrained estimate. Conservative for a new practice.
Coach licensing — clients per coach	5/month	Conservative for a part-time or fractional career coach.
Year 3 revenue	€80,000	Extrapolated from year 2 growth rate. Not modelled in detail — directional only.
GDPR legal cost	€2,000	Market estimate for a data protection specialist in Portugal/Europe for a SaaS product at this scale.
EU AI Act compliance cost	€1,500	Market estimate for limited-risk classification review and documentation.

Part 2 — Risk Assessment Matrix

Risk Register

#	Risk	Category	Likelihood (1-5)	Impact (1-5)	Risk Level	Mitigation
R1	OpenAI API pricing increase or model deprecation	Technical	3	4	12	Abstract the LLM layer in n8n so models can be swapped. Monitor Anthropic and open-source alternatives (Mistral, LLaMA) as fallbacks. Build pricing sensitivity into unit economics — model in a 3× cost scenario.
R2	PDF extraction failure — poor quality input produces poor quality output	Technical	4	3	12	Add pre-processing validation to detect empty or low-quality text extraction. Provide explicit PDF preparation guidance to users. Build a graceful error response that returns the form with a helpful failure message rather than a silent workflow crash.

#	Risk	Category	Likelihood (1-5)	Impact (1-5)	Risk Level	Mitigation
R3	Output over-confidence — LaunchPad produces polished output that masks real gaps or inflates candidate confidence	Ethical	3	4	12	Embed a transparency notice on every report tab (already present in WF1 HTML). Ensure gap analysis is mandatory and cannot be empty (enforced at prompt level). Add explicit disclaimer that outputs are a starting point for reflection, not a career verdict. Validate outputs against real candidate outcomes in the pilot phase.
R4	Candidate acts on a mismatched profile recommendation and targets the wrong roles	Ethical	3	4	12	Hard constraint rules in Validate Profile Matching node cap mismatched profiles programmatically. Gaps array is mandatory for every top match (minimum 3 for rank 1). Consider adding a human review layer for B2C coaching clients before they act on outputs.

#	Risk	Category	Likelihood (1-5)	Impact (1-5)	Risk Level	Mitigation
R5	GDPR non-compliance — candidate personal data processed without adequate legal basis or safeguards	Regulatory	2	5	10	Commission GDPR legal review before MVP launch. Document legal basis for each processing activity (contract performance for B2C, legitimate interest for B2B). Implement data minimisation — no data stored beyond the session at POC stage. Add explicit consent mechanism at form trigger. See gdpr_documentation.md .
R6	EU AI Act misclassification — system classified at wrong risk level, triggering unexpected compliance obligations	Regulatory	2	4	8	Commission EU AI Act compliance review before MVP launch. Current assessment: Limited Risk (transparency obligation). Career advice systems are not currently listed as High Risk under Annex III. Monitor regulatory updates as AI Act implementation progresses. See eu_ai_act_compliance.md .

#	Risk	Category	Likelihood (1-5)	Impact (1-5)	Risk Level	Mitigation
R7	Operator adoption failure — bootcamp operators do not see sufficient differentiation from existing career services	Operational	3	4	12	Position explicitly as a complement to CareerHack, not a replacement. Lead with outcome data from pilot cohort. Offer a free pilot cohort (one operator, one cohort) to generate proof before asking for a licence fee.
R8	User adoption failure — candidates do not complete the Self-Reflection Workbook, producing degraded output	Operational	3	3	9	Design the Self-Reflection Workbook to be completable in under 45 minutes. Provide example answers. Offer a facilitated completion session as part of the coaching programme. Monitor completion rates and drop-off points.
R9	Single-builder dependency — product development, support, sales and delivery all depend on one person	Operational	4	3	12	Document all workflows, prompts, and code nodes thoroughly (poc_documentation.md as starting point). Prioritise no-code/low-code architecture to reduce maintenance complexity. Identify one potential technical collaborator as a contingency before launch.

#	Risk	Category	Likelihood (1-5)	Impact (1-5)	Risk Level	Mitigation
R10	Data breach — candidate personal data (LinkedIn, CliftonStrengths, self-reflection) exposed via n8n or OpenAI	Regulatory / Technical	2	5	10	No candidate data stored at POC stage (session only). For MVP: encrypt data in transit, implement access controls on n8n instance, review OpenAI data retention policies, add breach notification procedure. See gdpr_documentation.md .

Risk Matrix Summary

RISK MATRIX		LIKELIHOOD				
		1	2	3	4	5
IMPACT	5		R5, R10		R3, R4	
	4			R6	R1, R7	
	3			R8, R9	R2	
	2					
	1					

Critical risks (score 12+): R1, R2, R3, R4, R7, R9 — all require active mitigation before MVP launch. High risks (score 8-11): R5, R6, R8, R10 — require mitigation plan in place, with R5 and R10 non-negotiable before any live data is processed.